JATHNIER CORPORATION
RUBY ST., RGA VILLAGE, DACUDAO,
DAVAO CITY, PHILIPPINES.
(082) 282 2439

MEMORANDUM

May 24, 2023 **FA-2023-0524-0030**

TO: **SUPPLY CHAIN MANAGEMENT DEPARTMENT**
PROCUREMENT/PURCHASING SECTION
GENERAL ACCOUNTING DEPARTMENT
ACCOUNTS PAYABLE / ACCOUNTS RECEIVABLE SECTION
TREASURY

FR: **GABRIEL L. CUAYCONG/FM-JC**

Cc: **DLC/MGC/Audit/HRD/File**

Re: **JATHNIER CORPORATION STANDARD POLICY ON ACCOUNTING PROCEDURE AND RECORDING OF CASH PURCHASES OR CASH ON DELIVERY (CO) WITH EXTERNAL SUPPLIERS.**

Moving forward to our corporate vision in business year 2023, herewith is the Jathnier Corporation Standard Corporate Policy and Procedure on **CASH PURCHASES or CASH ON DELIVERY (COD)** from external suppliers; provide **PURCHASE REQUEST (P.R.)** by requesting party and **PURCHASE ORDER (P.O.)** by the Procurement Section of Supply Chain Management Department and issuance of bank check as payment by the Treasury Section of Finance & Administration Department. *(See attached Process Flow Chart)*

INTERNAL CONTROLS

An internal control is a procedure or policy put in place by management to safeguard assets, promote accountability, increase efficiency, and stop fraudulent behavior.

Definitions:

1. **PURCHASE REQUEST (P.R.)** – Is a standard accountable form used by the company to document the intent of every department or authorized personnel to purchase any items considered by the company as asset to external vendor or supplier (e.g. raw materials, vehicles & equipment, tools & utensil, supplies, Forms, peripherals & other items considered as asset). Issuance of this form must follow the standard accomplishment of the PR form and its approval matrix (see latest memorandum on approval matrix). PR is the document for the Purchasing Section to execute standard procurement procedure going to the issuance of Purchase Order (PO).

2. **PURCHASE ORDER (P.O.)** – Is a standard accountable form used by the company as a source document used by the purchasing department to place an order with a vendor or supplier. In other words, this is the **contract** that a buyer drafts to purchase goods from a seller. Take notice on the word **"Contract"** it has a legal attribute that binds the transaction of the buyer and the seller. This PO is the document where the vendor or seller points its reference to prepare ordered items to be delivered and to establish the point of sale to the buyer through Delivery Invoice or Sales Invoice.

3. **PURCHASE ORDER "TERMS & CONDITION"** – Terms & conditions is an important part of the P.O. that will establish the agreed type or nature on the acqusition of an asset by the company, either by Credit or Cash on Delivery (COD), on discount or with penalty when payment is delayed. This is an integral part of the P.O. in the Supply Chain Management flow of the company.

A. CORPORATE POLICY AND PROCEDURE: PURCHASE REQUEST (PR), PURCHASE ORDER (PO), CASH ON DELIVERY (COD) PAYMENT, SUPPLIER'S DELIVERY INVOICE OR SALES INVOICE AND SUPPLIER'S ISSUANCE OF OFFICIAL RECEIPT.

1. No Purchase Request (PR), No procurement Procedure and NO Purchase Order (PO).
2. Purchase Request must be properly accomplished and have proper approval in accordance with management approval matrix.
3. PR will undergo standard procurement procedure (canvassing, review & negotiation).
4. Purchase Order will be issued only upon following the standard procurement procedure and finality of the specification, **terms and conditions** set forth on the PR with the vendor or supplier.
5. When terms are Cash On Delivery (COD), it must be clearly stated on the PO memorandum field.
6. Transmit COD PO, Purchase Request (PR), Quotation & Canvass Form to Treasury Section, make ready for issuance of on date bank Check address to supplier.
7. At Treasury Section, upon receipt of documents from Purchasing Section (PR,PO,Quotation or Canvass Sheet), will initiate "Check Write" and prepare bank check payment and relay check data to Purchasing Section.
8. Purchasing Section will relay check payment data to Supplier.
9. Supplier will prepare and deliver goods ordered together with Sales Invoice with reflected reference COD terms.
10. Details of Purchase Order issued must match 100% with the vendor's or supplier's delivered items and the details reflected on the Delivery Invoice or Sales Invoice (note: Sales Invoice of the supplier must reflect the PO reference & COD terms).
11. Warehouse, Property Control or any receiving end will not accept any vendor or suppliers delivery not following this Corporate Policy.
12. For COD terms, receiving end (Warehouse, Property, Material Controller) must follow standard receiving procedure and acknowledge clearly delivery documents, stamp **"received"**, with corresponding MRCS or RIR. No more **"item receipt"** in Qbe system.
13. For COD terms, goods delivered by supplier through air freight/sea freight, the freight WayBill should be fully acknowledge by Logistic personnel assigned to strip freight container and pickup goods at ship/container yard.
14. Transmit fully acknowledge delivery & receiving documents to Finance & Admin Department's Bookkeeping Section.
15. All ordered items should follow the updated Standard Data Master List. In case where item description is not in the master list, a formal request to Cost & Inventory Management Department to provide and update the Data Master List, before any order is to be processed.

B. CORPORATE POLICY: NO TAMPERING OF DATA ON ISSUED PURCHASE ORDER (P.O.)

Rationale: Purchase Order is a contract that a buyer drafts to purchase goods from a seller. Take notice on the word "Contract", it has a legal attribute that binds the transaction of the buyer and the seller.

1. For the very reason that a Purchase Order is a contract, any erasures, changes or alterations during or upon use (delivery of items) of the Purchase Order, is deemed a violation of the contract.
2. In instance where Purchase Order does not match with the supplier's delivery invoice or sales invoice. We go back to Corporate Policy "A.", **if ever the delivered item is proven correct and the PO issued is erroneous (MRS,PR vs. PO), the resolution is to CANCEL PO and RE-ISSUE NEW & CORRECTED PO by the purchasing section with notation on the PO of such nature and approved by the Supply Chain Manager.**

C. CORPORATE POLICY: ALL EXTERNAL SUPPLIERS UPON COLLECTION OF ALL CHECK PAYMENTS MUST ISSUE OFFICIAL RECEIPTS (O.R.) WITH COMPLETE REFERENCE ON SALES INVOICE ISSUED.

D. CORPORATE POLICY: IN REMOTE CASE WHEN THERE ARE DISCREPANCIES ON DELIVERY DOCUMENTS AGAINST ACTUAL ITEMS OR GOODS DELIVERED.

1. NO RECEIVING. When Delivery Documents (PO & Sales Invoice) does not much actual items or goods in terms of specifications & description, amount or quantity. Relay immediately to Purchasing Section and Treasury Section for resolution.
2. If delivered items is proven correct and the PO issued is erroneous, follow Corporate Policy B, #2 and transmit to Treasury Section corrected and re-issued PO.
3. Treasury Section upon receipt of corrected and re-issued PO. Cancels previous check issued and follow Corporate Policy A, #7.
4. Once corrected, Warehouse, Property & Material Controller will again execute standard receiving procedure as stated on Corporate Policy A.

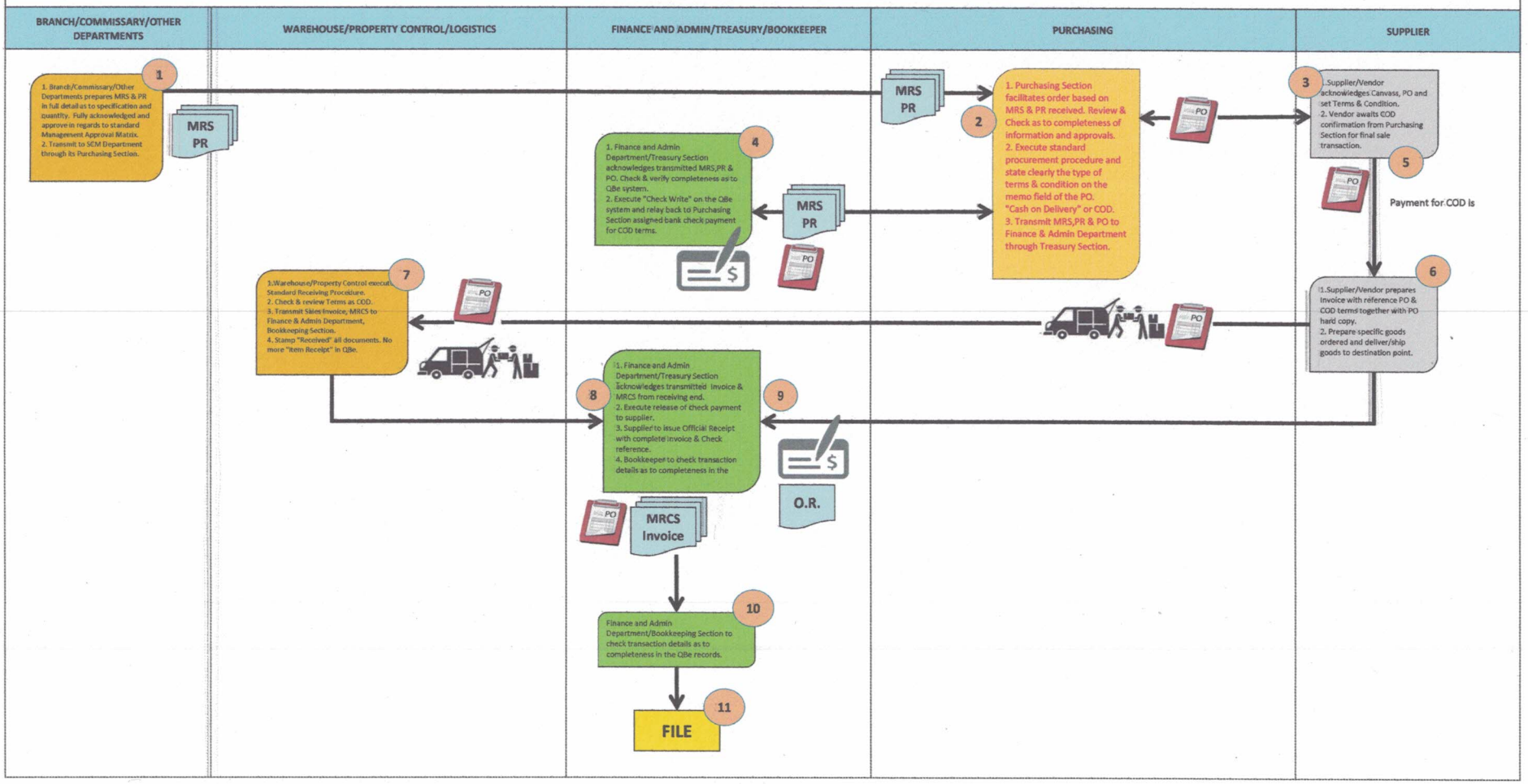
Strict compliance is required for this Policies & Guidelines and this will officially take effect on **May 29, 2023**. Any clarification on this matter please communicate accordingly.

Gabriel L. Cuaycong
FM/RBS-JC

Noted:

Melina G. Comedido
VP/Operations Director-JC

CASH PROCUREMENT OF RAW MATERIALS, SUPPLIES AND SERVICES
PROCESS FLOW 3 - JATHNIER PROCESS FLOW CHART 2022



05/24/2023